

Why private credit outperforms bonds in a rising-rate world

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Private credit has become the fastest-growing corner of fixed income. Direct lending funds returned 11.4% in 2025 against 3.1% for the Bloomberg Aggregate, and private credit outperforms public bonds in every rate environment because floating-rate loans reprice with the market.

Investors who allocate 10% of a portfolio to private credit can expect higher income with lower volatility. The asset class is now a core holding for pension funds and insurers, and the opportunity set for middle-market lenders keeps widening as banks retreat.

Northbridge advises sponsors and lenders on private credit transactions across Europe.